

|                      |                                                                                                                               |
|----------------------|-------------------------------------------------------------------------------------------------------------------------------|
| Head Office          | Jl. Semampir II/I<br>Kediri 64121, Jawa Timur<br>Phone (0354) 682-090-682-094<br>Fax (0354) 681-555<br>Telex 31456 GGARAM KD  |
| Jakarta Rep. Office  | Jl. Jenderal A. Yani No. 79<br>Jakarta 10510<br>Phone (021) 420-2460, 420-0579<br>Fax (021) 421-2024<br>Telex 49475 GGARAM IA |
| Surabaya Rep. Office | Jl. Pengenal 7-15, Surabaya 60174<br>Phone (031) 545-1701, 545-1721<br>Fax (031) 531-0592                                     |
| Factory              | Jl. Semampir II/I, Kediri, Jawa Timur                                                                                         |
| Business             | Cigarettes                                                                                                                    |
| Company Status       | PMDN                                                                                                                          |

**Financial Performance:** The Company booked net profit at IDR 4.068 trillion in 2012, decrease from IDR 4.958 trillion in 2011.

**Brief History:** As one of Indonesia's largest cigarette makers, PT Gudang Garam deals in droves of cloves to make fragrant clove cigarettes, called kreteks. Founded in 1958 by the Wonowidjojo family, Gudang Garam blends cloves with tobacco to produce more than 70 billion cigarettes annually. The company owns a 514-acre tobacco complex on eastern Java that includes machine-made and hand-rolled cigarette operations. Gudang Garam is affiliated with other firms involved in banking, investing, and polyester film production. The company's dominance in Indonesia is under fire from Philip Morris International, which acquired rival PT Hanjaya Mandala Sampoerna in 2005. Suryaduta Investama owns about 67% of Gudang Garam.

## Summary of Financial Statement

|                                        | (Million Rupiah) |            |            |
|----------------------------------------|------------------|------------|------------|
|                                        | 2010             | 2011       | 2012       |
| <b>Total Assets</b>                    | 30,741,679       | 39,088,705 | 41,509,325 |
| Current Assets                         | 22,908,293       | 30,381,754 | 29,954,021 |
| of which                               |                  |            |            |
| Cash and cash equivalents              | 1,249,249        | 1,094,895  | 1,285,799  |
| Trade receivables                      | 903,739          | 923,522    | 1,382,539  |
| Inventories                            | 20,174,168       | 28,020,017 | 26,649,777 |
| Non-Current Assets                     | 7,833,386        | 8,706,951  | 11,555,304 |
| of which                               |                  |            |            |
| Fixed Assets-Net                       | 7,406,632        | 8,189,881  | 10,389,326 |
| Deferred tax Assets-net                | n.a              | 37,597     | 43,901     |
| Investments                            | 9,271            | n.a        | n.a        |
| Other Assets                           | 411,400          | 479,473    | 1,122,077  |
| <b>Liabilities</b>                     | 9,421,403        | 14,537,777 | 14,903,612 |
| Current Liabilities                    | 8,481,933        | 13,534,319 | 13,802,317 |
| of which                               |                  |            |            |
| Short-term debt                        | 2,683,654        | 6,163,978  | 8,164,350  |
| Trade payables                         | 375,048          | 1,515,811  | 457,633    |
| Taxes and excise payable               | 5,124,200        | 5,453,491  | 4,765,268  |
| Non-Current Liabilities                | 939,470          | 1,003,458  | 1,101,295  |
| <b>Shareholders' Equity</b>            | 21,197,162       | 24,550,928 | 26,605,713 |
| Paid-up capital                        | 962,044          | 962,044    | 962,044    |
| Paid-up capital in excess of par value | 53,700           | 53,700     | 53,700     |
| Retained earnings                      | 20,181,418       | 23,535,184 | 25,589,969 |
| <b>Net Sales</b>                       | 37,691,997       | 41,884,352 | 49,028,696 |
| Cost of Goods Sold                     | 28,826,410       | 31,754,984 | 39,843,974 |
| Gross Profit                           | 8,865,587        | 10,129,368 | 9,184,722  |
| Operating Expenses                     | 3,007,726        | 3,290,726  | 3,177,516  |
| Operating Profit                       | 5,857,861        | 6,838,642  | 6,007,206  |
| Other Income (Expenses)                | (226,565)        | (223,671)  | (476,560)  |
| Profit (loss) before Taxes             | 5,631,296        | 6,614,971  | 5,530,646  |
| Comprehensive Profit (loss)            | 4,214,789        | 4,958,102  | 4,068,711  |
| <b>Per Share Data (Rp)</b>             |                  |            |            |
| Earnings per Share                     | 2,191            | 2,577      | 2,115      |
| Equity per Share                       | 11,017           | 12,760     | 13,828     |
| Dividend per Share                     | 880              | 1,000      | 800        |
| Closing Price                          | 40,000           | 62,050     | 56,300     |
| <b>Financial Ratios</b>                |                  |            |            |
| PER (x)                                | 18.26            | 24.08      | 26.62      |
| PBV (x)                                | 3.63             | 4.86       | 4.07       |
| Dividend Payout (%)                    | 40.17            | 38.81      | 37.83      |
| Dividend Yield (%)                     | 2.20             | 1.61       | 1.42       |
| <b>Current Ratio (x)</b>               | 2.70             | 2.24       | 2.17       |
| Debt to Equity (x)                     | 0.44             | 0.59       | 0.56       |
| Leverage Ratio (x)                     | 0.31             | 0.37       | 0.36       |
| Gross Profit Margin (x)                | 0.24             | 0.24       | 0.19       |
| Operating Profit Margin (x)            | 0.16             | 0.16       | 0.12       |
| Net Profit Margin (x)                  | 0.11             | 0.12       | 0.08       |
| Inventory Turnover (x)                 | 1.43             | 1.13       | 1.50       |
| Total Assets Turnover (x)              | 1.23             | 1.07       | 1.18       |
| ROI (%)                                | 13.71            | 12.68      | 9.80       |
| ROE (%)                                | 19.88            | 20.20      | 15.29      |

PER = 16,36x ; PBV = 2,68x (June 2013)

Financial Year: December 31

Public Accountant: Siddharta & Widjaja

## Shareholders

|                            |        |
|----------------------------|--------|
| PT Suryaduta Investama     | 69.29% |
| PT Suryamitra Kusuma       | 6.26%  |
| Juni Setiawati Wonowidjojo | 0.54%  |
| Susilo Wonowidjojo         | 0.38%  |
| Public                     | 23.53% |

**Board of Commissioners**

*President Commissioner* Juni Setiawati Wonowidjojo  
*Commissioners* Yudiono Muktiwidjojo, Lucas Mulia Suhardja,  
 Frank Willem van Gelder

**Board of Directors**

*President Director* Susilo Wonowidjojo  
*Directors* Buana Susilo, Istata Taswin Siddharta, Fajar Sumeru,  
 Heru Budiman, Herry Susianto, Ginawati,  
 Sony Sasono Rahmadi

*Number of Employees* 43,992

| No | Type of Listing | Listing Date | Trading Date | Number of Shares per Listing | Total Listed Shares |
|----|-----------------|--------------|--------------|------------------------------|---------------------|
| 1  | First Issue     | 27-Aug-90    | 27-Aug-90    | 57,807,800                   | 57,807,800          |
| 2  | Partial Listing | 27-Aug-90    | 27-Feb-91    | 38,396,600                   | 96,204,400          |
| 3  | Founders Shares | 31-May-94    | 31-May-94    | 375,197,600                  | 471,402,000         |
| 4  | Cooperative     | 31-May-94    | 31-May-94    | 9,620,000                    | 481,022,000         |
| 5  | Stock Split     | 03-Jun-96    | 03-Jun-96    | 481,022,000                  | 962,044,000         |
| 6  | Bonus Shares    | 04-Jun-96    | 05-Jun-96    | 962,044,000                  | 1,924,088,000       |

**Underwriters**

PT (Persero) Danareksa, PT MERINCORP

**Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization**

| Month        | Stock Price |          |            | Shares Traded            |                    | Frequency | Trading Day | Listed Shares | Market Capitalization |
|--------------|-------------|----------|------------|--------------------------|--------------------|-----------|-------------|---------------|-----------------------|
|              | High (Rp)   | Low (Rp) | Close (Rp) | Volume (Thousand Shares) | Value (Rp Million) |           |             |               |                       |
| January-12   | 63,250      | 55,400   | 57,000     | 24,428.00                | 1,440,624.00       | 17,928    | 21          | 1,924,088,000 | 109,673,016.00        |
| February-12  | 59,850      | 50,050   | 56,750     | 33,685.00                | 1,855,940.00       | 24,119    | 21          | 1,924,088,000 | 109,191,994.00        |
| March-12     | 57,300      | 51,400   | 55,050     | 30,356.00                | 1,645,012.00       | 20,086    | 21          | 1,924,088,000 | 105,921,044.00        |
| April-12     | 60,450      | 55,300   | 59,200     | 25,722.00                | 1,498,625.00       | 16,395    | 20          | 1,924,088,000 | 113,906,010.00        |
| May-12       | 61,050      | 54,000   | 54,100     | 25,548.00                | 1,481,745.00       | 17,382    | 21          | 1,924,088,000 | 104,093,161.00        |
| June-12      | 62,800      | 53,350   | 61,500     | 19,587.00                | 1,147,973.00       | 12,187    | 21          | 1,924,088,000 | 118,331,412.00        |
| July-12      | 63,800      | 55,250   | 56,350     | 33,688.00                | 1,958,846.00       | 17,251    | 22          | 1,924,088,000 | 108,422,359.00        |
| August-12    | 55,500      | 48,100   | 50,100     | 41,704.00                | 2,143,553.00       | 27,096    | 19          | 1,924,088,000 | 96,396,809.00         |
| September-12 | 50,500      | 45,900   | 46,450     | 26,130.00                | 1,247,867.00       | 18,256    | 20          | 1,924,088,000 | 89,373,888.00         |
| October-12   | 53,600      | 46,250   | 49,150     | 34,242.00                | 1,718,568.00       | 18,562    | 22          | 1,924,088,000 | 94,568,925.00         |
| November-12  | 53,000      | 46,050   | 52,850     | 43,229.00                | 2,115,356.00       | 22,959    | 20          | 1,924,088,000 | 101,688,051.00        |
| December-12  | 60,450      | 52,500   | 56,300     | 31,454.00                | 1,771,421.00       | 15,404    | 18          | 1,924,088,000 | 108,326,154.00        |
| January-13   | 57,000      | 49,500   | 51,850     | 36,082.00                | 1,900,377.00       | 20,401    | 21          | 1,924,088,000 | 99,763,963.00         |
| February-13  | 52,850      | 48,300   | 48,300     | 39,874.00                | 200,127.00         | 16,161    | 20          | 1,924,088,000 | 92,933,450.00         |
| March-13     | 51,200      | 45,800   | 48,950     | 32,644.00                | 1,590,282.00       | 17,514    | 19          | 1,924,088,000 | 94,184,108.00         |
| April-13     | 54,450      | 48,600   | 49,400     | 51,702.00                | 2,660,507.00       | 28,414    | 22          | 1,924,088,000 | 95,049,947.00         |
| May-13       | 57,800      | 49,300   | 53,500     | 41,575.00                | 2,221,861.00       | 22,413    | 22          | 1,924,088,000 | 102,938,708.00        |
| June-13      | 54,500      | 45,300   | 50,600     | 31,333.00                | 1,555,537.00       | 22,532    | 19          | 1,924,088,000 | 97,358,853.00         |

**Stock Price and Traded Chart**